Feedback and Support

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Session Format

Paper or Poster

Presentation Title

Entry Dynamics and demand-side subsidies: Evaluating the impact of SNAP ABAWD waivers on retailer entry

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Our project combines administrative data from the USDA's SNAP retail database, digitalized information on waivers from the Food and Nutrition Service (FNS), and county-level information from the American Community Survey (ACS). We estimate the following Event Study specification for a given county i at time following Sun and Abraham (2021) to account for staggered rollout of ABAWD waivers:

$$Y_{it} = \sum_k \beta_k D_{it}{}^k + X_{it}{}'\gamma + \alpha_i + \lambda_t + \varepsilon_{it}$$

Where Y_{it} is the inverse hyperbolic sine transformation of the count of a given retailer format in a county-year, and treatment D_{it} is defined by event-time indicators relative to the first onset of a waiver adoption. Our controls X_{it} include population, average wage, mean income, rent, and the unemployment rate, along with county and year fixed effects. Event time is defined relative to the year of waiver adoption. The parameters (Figure 1) show no evidence of differential pre-trends and a statistically significant increase in entry beginning one year after adoption.

We find that dollar store counts increase by approximately 10 percent at the county level on average following ABAWD waiver adoption, an effect that is unique to the dollar store format. We do not find evidence of comparable changes in the entry behavior of supermarkets, multi-category stores, or other retail formats. These findings motivate discussion about whether intensive-margin SNAP expansions can meaningfully reshape the retail environments faced by low-income consumers, and whether policy debates focused narrowly on demand-side restrictions may overlook supply-side mechanisms operating through retailer entry and participation. We therefore propose an empirical framework to study how entry by low-cost retailers interacts with the nutritional objectives of SNAP and how consumers respond to benefit restrictions that limit purchases to "healthy" alternatives.

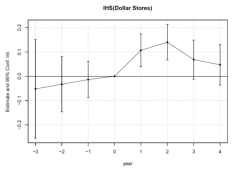

Figure 1: Event-Study Estimates of the Effect of ABAWD Waivers on Dollar Store Entry

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